GLOBAL INTELLIGENCE

Daily Intelligence Report

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At a Glance

- **Midterms and the Iran talks drive markets:** Americans vote today for all 435 House seats and about a third of the Senate. European stocks opened lower, and Brent is back above $106 after Reuters reported "significant obstacles" to a US-Iran deal. On Monday Brent fell 7.56% to $104.85 on hopes of talks.
- **Race to succeed Lagarde:** Eurozone governments must nominate candidates for ECB president by Friday 6 November, and finance ministers discuss them on 9 November. Lagarde is reported to leave on 7 February 2027. The names most often cited are Hernández de Cos, Knot and Nagel.
- **Russia hits a Ukrainian aid centre:** Bombs killed at least 29 people at a school used as an aid point in Komyshuvakha, Zaporizhzhia. US-Russia-Ukraine talks are expected in Abu Dhabi on 10-11 November, but Moscow's attendance is not guaranteed.
- **Ex Ilva bid in doubt:** The Federacciai steelmakers' consortium may drop out before the 8 November deadline. Its president, Gozzi, says no decision has been taken. Jindal's reported offer of about €2bn would then be the main alternative.
- **Gas and oil stay very expensive:** TTF gas is around €96-98/MWh, and Hormuz is still closed in the ninth month of the war. This feeds Italian power bills and the ECB's inflation debate.
- **Italian banks beat forecasts:** Intesa's nine-month profit rose 8.1% to €8.2bn, and it raised its 2026 guidance to "well above" €10bn. The BTP-Bund spread is still wider, at 115.5 basis points against about 113 on Monday.
- **China cools the yuan:** The PBOC told banks to hold more foreign currency in reserve, which ended the onshore yuan's longest winning streak in three decades. Trump goes to the Apec summit in Shenzhen in about two weeks.
- **Tech and AI under strain:** The Nasdaq 100 is down 4.4% on the week, Seoul fell 3.6%, and Nvidia is pushing cloud clients to limit Chinese customers. Anthropic's IPO filing shows very large spending commitments.
- **Washington uses trade as leverage:** Trump is removing South Africa and Rwanda from a US trade arrangement. The US also cleared a $2.1bn sale of 500 PAC-3 Patriot missiles to Ukraine, with delivery in the 2030s.
- **Cold-chain cyberattacks reach Italy:** Two food firms were hit, and the national cybersecurity agency (ACN) has called retailers to a meeting today.

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What It Means for You in Italy

- **Fuel and energy bills:** Brent above $104 and gas near €96-98/MWh keep power and fuel costs high. Monday's dip is not yet visible at the pump or on bills. Q8 offers a 20% fuel discount to farming and fishing until 31 December.
- **Mortgages and loans:** The ECB held at 2.50% on 29 October, but some governors lean towards more hikes. Variable-rate mortgages would feel any hike with a lag. No change has been decided.
- **Prices and inflation:** Eurozone inflation was 3.8% in September. The October flash estimate on Wednesday shows whether the energy shock is feeding through to shop prices.
- **Savings and BTPs:** The 10-year BTP yields 4.47%, up from 4.42% on Monday. New government bonds therefore pay slightly more, but prices of existing bonds fall when yields rise.
- **Jobs and wages:** Ex Ilva's future at Taranto is uncertain, and the sale decision falls this week. Schaeffler's job cuts are in Germany, but they signal pressure on car-parts suppliers, including Italian ones.
- **Taxes and pensions:** The 2027 budget depends on Brussels accepting a deviation of about €29bn over 2027-28. Nothing has been decided.
- **Food and cyber:** Attacks on cold-chain firms could disrupt frozen-food supply, though no shortages are reported.
- **Travel:** Jet fuel costs and the Gulf conflict remain upward risks for fares. Today's news gives no specific change.

Markets Dashboard

Europe	Last	Day	Week
Euro Stoxx 50	6,135.72	-0.65%	-0.47%
FTSE MIB (Italy)	49,615.85	-0.66%	-0.02%
DAX (Germany)	25,792.69	-0.73%	+0.79%
CAC 40 (France)	8,026.08	-0.27%	+1.76%
IBEX 35 (Spain)	18,791.70	-0.88%	-1.93%
FTSE 100 (UK)	10,686.72	-0.69%	+0.00%

Americas	Last	Day	Week
S&P 500	7,541.40	-0.51%	-1.76%
Nasdaq 100	27,989.82	-1.39%	-4.38%
VIX (US volatility)	21.67	+2.46%	+23.69%
Bovespa (Brazil)	167,922.00	-0.75%	-18.12%

Asia	Last	Day	Week
Nikkei 225 (Japan)	63,081.86	-0.33%	+1.43%
CSI 300 (China)	4,008.87	–	–
Hang Seng (Hong Kong)	23,525.97	+0.57%	+2.10%
KOSPI (South Korea)	5,648.79	-3.59%	+0.19%
Taiex (Taiwan)	43,307.54	-3.59%	-6.05%
Nifty 50 (India)	23,810.85	+1.58%	+4.66%

Rates	Last	Day	Week
US 10Y yield (%)	4.8940	-0.71%	-1.85%
US 2Y yield (%)	4.7500	–	–

Currencies	Last	Day	Week
EUR/USD	1.1186	+0.26%	+0.11%
EUR/GBP	0.8336	+0.02%	-0.44%
EUR/CHF	0.9162	-0.43%	-0.93%
EUR/CNY	7.4331	+0.02%	-0.26%
US Dollar Index (DXY)	101.85	+0.10%	-0.46%
USD/JPY	158.20	+0.33%	+0.42%
USD/RUB	81.33	+0.81%	+0.66%
USD/INR	94.74	-0.17%	-0.47%
USD/BRL	5.4745	+0.72%	+1.90%
USD/TRY	49.99	+0.05%	+0.43%
Bitcoin ($)	77,330.77	+0.85%	-0.57%

Commodities	Last	Day	Week
Brent ($/bbl)	105.97	+1.15%	-6.95%
WTI ($/bbl)	98.16	+1.76%	-1.74%
Dutch TTF gas (EUR/MWh)	96.53	–	–
Gold ($/oz)	3,917.10	-1.32%	-3.87%
Silver ($/oz)	49.05	-3.29%	-9.66%
Copper ($/lb)	6.3730	-2.61%	-3.76%
Wheat (c/bu)	604.75	-0.29%	-0.90%

Delayed exchange quotes, last daily close (Yahoo Finance). Prices, not policy facts.

I Europe & Italy

Italy

Italy's main domestic story today is the sale of the ex Ilva steelworks. Banks and energy prices are the main economic stories.

Ex Ilva: Italian steel consortium may drop out days before the bid deadline

Press reports say the Federacciai consortium of Italian steelmakers could withdraw its bid for the cold-rolling part of ex Ilva. Federacciai is the steel industry association. Its president, Antonio Gozzi, said "the decision has not yet been taken" and that it will be announced once made. Binding offers are due on 8 November. A meeting with industrialists took place at Palazzo Chigi on 2 November, and ANSA reports no government position.

Why it matters: ex Ilva, now Acciaierie d'Italia and under extraordinary administration, is Italy's largest steel complex, based in Taranto. In August Federacciai filed an expression of interest for the plants, excluding the hot area of Taranto. Reports at the time named 14 companies and put the group's valuation at €600m-€1bn. The Jindal group, an Indian steel producer, was reported to have offered about €2bn for the whole site. If the Italian group pulls out, Jindal's offer becomes the main alternative.

Watch: Federacciai's decision and the 8 November offers.

Sources: ANSA, Il Foglio

Intesa beats forecasts; the spread widens slightly

Intesa Sanpaolo reported a nine-month net profit of €8.2bn, up 8.1%. Third-quarter profit was €2.6bn, against €2.3bn a year earlier. It raised its 2026 profit guidance to "well above" €10bn and set a 95% payout ratio (75% cash dividends, 20% buybacks). Ferrari's third-quarter revenue rose 7% and net profit 13%.

The 10-year BTP-Bund spread was 115.5 basis points this morning, with the BTP yielding 4.47% and the Bund 3.31%. It had closed at about 113 on Monday. The FTSE MIB was down 0.38% at 11:32 UTC, after opening 1.18% lower.

Market impact: Italian bank earnings are strong, but Europe-wide stocks were weaker ahead of the US midterms (Frankfurt -0.9%, Paris -0.6% early on).

Sources: ANSA – Intesa, ANSA – spread, ANSA – Ferrari

Energy prices drop on US-Iran talks

On Monday Brent fell 7.56% to $104.85 and WTI to $96.36. Dutch TTF gas futures dropped to about €93/MWh after Supreme Leader Ali Khamenei reportedly approved negotiating with the US. These are still very high prices. Q8 announced a 20% fuel discount for farming and fishing until 31 December.

Sources: ANSA, Il Sole 24 Ore

Cold-chain cyberattacks reach Italy

Two Italian firms were hit: a Tuscan catering company and an Emilian frozen-food producer. The national cybersecurity agency (ACN) has stepped up monitoring and called retailers and food-chain operators to a meeting.

Sources: Il Sole 24 Ore

European Union

Race to succeed Lagarde starts, with a Friday deadline

The Eurogroup, the forum of eurozone finance ministers, has asked governments to submit nominees for European Central Bank president by Friday 6 November. Finance ministers will discuss the candidates at their meeting next Monday, 9 November, according to Politico. Lagarde is reported to be leaving on 7 February 2027, about nine months before her term ends.

Why it matters: the post sets euro-area interest rates and has to be filled during an inflation squeeze. Spain's Pablo Hernández de Cos and the Netherlands' Klaas Knot have been named as leading candidates, and Germany's Joachim Nagel has also been mentioned. Analysts say any winner needs both Berlin and Paris to back them.

For Europe & Italy: I could not verify whether Italy will back a candidate or put forward its own.

Market impact: Bloomberg Economics says ECB officials' remarks imply they expect inflation to fall "materially below" 2% by the end of 2027. The October flash inflation estimate is due Wednesday.

Watch: the list of names after 6 November.

Sources: Politico Europe, Bloomberg, Bloomberg Economics, Il Foglio

Brussels plans single-market changes to cut dependence on China

Bloomberg, citing people familiar with the plan, reports the EU is preparing targeted changes to its €18 trillion single market. The aim is to help European companies diversify supply chains away from countries including China. No details or timetable were available to me.

Why it matters: this fits the EU push for "strategic autonomy", the goal of relying less on outside suppliers for key goods. Leonardo's chief, Mariani, said today that this takes time and investment.

Sources: Bloomberg, ANSA

EU to host Ukraine reconstruction talks

Politico reports that Brussels will host talks with representatives of Washington, Kyiv and the EU. France, Germany, the UK, NATO and the World Bank will also take part. I could not retrieve the details.

Sources: Politico Europe

Italy in the EU & PNRR

I found no new Council or Parliament votes involving Italy in this window. The main open file is the 2027 budget. As reported earlier, it depends on Brussels accepting a deviation of about €29bn over 2027-28. The ECB succession (see above) is Italy's next major EU appointment issue.

PNRR tracker

The PNRR is Italy's share of the EU recovery fund. Under EU rules its final milestones fall in 2026 and its final payments by the end of 2026. That rule is from my own knowledge, not from today's sources. Nothing moved in the last 24 hours.

Item	Status	Next step
10th and final instalment	Request sent 29 Sept 2026. Minister Tommaso Foti cited 156 targets met and €28.4bn.	Commission assessment and payment. The sum paid may differ from €28.4bn.
Total received	€153.2bn (79% of the allocation) after the 8th instalment, in Dec 2025	I could not confirm the 9th instalment's payment status.

Sources: Teleborsa, Agenzia Nova, Sky TG24

Across Europe

Germany

Youth protests turned violent in several German cities over the weekend, and Frankfurt was reported worst. Interior Minister Alexander Dobrindt (CSU) defended calling the rioters "Chaoten" (troublemakers) at the police union congress. He had earlier mentioned "violent left-wing groups and migrant troublemakers". Defence Minister Boris Pistorius (SPD) contradicted him, and the Greens said the remarks stigmatise people with migration backgrounds.

In Saxony-Anhalt, the AfD's Ulrich Siegmund wants to stand for minister-president in Magdeburg in December. He would need votes from other parties. The state's strong AfD result was described as a "serious situation" by the interior ministers' conference chair.

Auto supplier Schaeffler will cut 3,460 jobs in Europe, including 2,660 in Germany, to save €300m a year. The FT reports four German sites will close.

Ukrainian President Zelensky made an unannounced visit to Chancellor Friedrich Merz in Berlin. Handelsblatt says they discussed the coming Russia talks, air defence and energy aid. It reports a US-Russia-Ukraine round in Abu Dhabi next Tuesday and Wednesday, which differs from the 6-10 November window reported earlier.

Sources: Handelsblatt – Dobrindt, Handelsblatt – Schaeffler, FT, Handelsblatt – Zelensky

United Kingdom

Brookfield and the Qatar Investment Authority agreed to invest £2.5bn ($3.4bn) in a data centre project with power generator Drax.

Sources: Bloomberg

Other countries

I found no verified news today for France, Spain, Poland or other countries.

II Great Powers

United States

Americans vote today in the midterm elections for all 435 House seats and about a third of the Senate. Bloomberg reports S&P 500 futures down 0.2% and Brent crude up 1.7% to above $106 a barrel. Oil rose because Reuters reports "significant obstacles" to a US-Iran peace deal. Wall Street had opened higher on Monday.

Midterms open, with Washington's foreign policy riding on the result

Analysts quoted by Bloomberg expect gridlock if Democrats win both chambers. PGIM's Katharine Neiss says gridlock would raise inflation risks and complicate the Federal Reserve's path. Bloomberg also reports that Moscow is planning how to use a weakened Trump in Ukraine diplomacy.

Why it matters: A Democratic House could block spending bills and open investigations. It could also challenge tariffs and defence policy.

For Europe & Italy: European diplomats fear cuts to NATO or troop commitments after a loss. That is a fear, not a decision.

Watch: Early results tonight and any legal challenges to the count.

Sources: Bloomberg, Bloomberg, Bloomberg

Trump heads to Shenzhen as a Trump-Putin-Xi meeting is discussed

The FT reports that the US, Russia and China have discussed a three-way meeting. Trump travels to Shenzhen in about two weeks for the Asia-Pacific Economic Cooperation (Apec) summit. No meeting is confirmed.

Why it matters: The summit is the next test of the US-China tariff truce.

Watch: Whether the White House confirms any Putin or Xi meeting.

Sources: FT

Trade deal and arms: Africa carve-out, Patriots for Kyiv

The BBC reports Trump will remove Rwanda and South Africa from a US trade deal. This comes about a week after the US Treasury sanctioned Rwanda's defence ministry. I could not verify the details of the removal. Separately, the State Department approved a $2.1bn sale of 500 PAC-3 Patriot missiles to Ukraine. Defense News says the missiles are not yet built and will arrive in the early 2030s. Canada, Germany, Norway and the EU's Ukraine Support Loan are paying for them.

Market impact: The Treasury's quarterly refunding announcement is due. JPMorgan's Bob Michele urges it to drop the 20-year bond.

Sources: BBC, Defense News, Bloomberg

China

Beijing is trying to cool a currency rally while a stock-support push has yet to convince investors. Trump's trip to Shenzhen in about two weeks frames its diplomacy.

PBOC moves to cool the yuan

The People's Bank of China (PBOC) asked banks to hold more foreign currency in reserve. The onshore yuan then ended its longest winning streak in three decades, according to Bloomberg. A separate Bloomberg newsletter says Beijing's effort to lift stocks "falls flat".

Why it matters: A strong yuan hurts exporters, who were already weak in October factory data. Authorities want to slow the gains without undermining confidence. Raising the reserve requirement makes it costlier for banks to supply foreign currency, which reduces demand for yuan.

Market impact: The onshore yuan weakened on the day. Chinese equities did not respond as officials hoped.

Watch: Further PBOC steps and stimulus signals before the Shenzhen summit.

Sources: Bloomberg, Bloomberg

Decoupling pressure from Washington, Brussels and Nvidia

The FT reports Nvidia has told cloud providers that a majority of their customers must be non-Chinese. Bloomberg reports the EU is preparing targeted single-market changes, covering a market worth €18 trillion, to help companies diversify supply chains away from China. Bloomberg also reports Washington wants deeper ties with Myanmar's military-backed government, partly for rare earths and to counter China.

For Europe & Italy: The EU plan could affect Italian manufacturers that rely on Chinese inputs. Brussels has not published details.

Watch: The text of the EU proposal and any rare-earth deal in Myanmar.

Sources: FT, Bloomberg, Bloomberg

Cyber and quantum

GCHQ's head of the National Cyber Security Centre will warn that Chinese and Russian AI-driven cyberattacks will be routine by 2028. Bloomberg reports China's quantum computing is advancing quickly.

Sources: FT, Bloomberg

Russia & Ukraine

Russia is escalating air attacks, and diplomacy is moving at the same time. Zelensky is in Berlin today, and US-Russia-Ukraine talks are set for next week.

Deadly strike on an aid centre

Ukrainian officials say at least nine 3,000kg aerial bombs hit a village in southern Ukraine, killing 29 people at an aid centre, according to the BBC. Zelensky called it "utterly horrific". Bloomberg reports a massive overnight air strike followed. Moscow's version is not in my sources.

Why it matters: Russia is intensifying its barrages, and civilian casualties are mounting.

Sources: BBC, Bloomberg

Diplomacy: Berlin today, Abu Dhabi next week

Zelensky is meeting Chancellor Merz in Berlin. Talks are expected to cover air defence, financing and energy. The FT reports the first US-Russia-Ukraine talks since February. Yesterday's edition gave 6-10 November. Reports today say 10-11 November, and the Kremlin has confirmed it will attend. The EU will also host reconstruction talks in Brussels with the US, UK, France, Germany, NATO and the World Bank.

Why it matters: Bloomberg reports Moscow expects to exploit a weakened Trump after the midterms.

Watch: Whether the Abu Dhabi dates hold.

Sources: Handelsblatt, FT, Politico Europe

Economy, Black Sea and the border

Russian utility bills are up more than 50% since 2022 and more than 13% this year, according to the Japan Times. The Japan Times also reports the Black Sea maritime war is testing NATO red lines. Poland's Tusk says forces foiled a possible provocation near Kaliningrad.

For Europe & Italy: Poland's incident adds to hybrid pressure on NATO's eastern flank.

Sources: Japan Times, Japan Times, Bloomberg

III World Regions

Middle East & Gulf

US-Iran diplomacy is moving oil and gas prices day to day, and no deal is in sight. The war is in its ninth month.

Oil and gas swing on US-Iran talks, with no deal yet

On Monday 2 November, Brent crude fell more than 7% to about $104.5 a barrel. WTI (the US benchmark) fell to $96.5, and Dutch TTF gas futures, Europe's gas benchmark, fell about 10% to €93.3/MWh (ANSA). By Tuesday morning Brent had rebounded 1.7% to above $106. TTF was up about 3% at €97.8 (Bloomberg, ANSA). Bloomberg cites Reuters saying "significant obstacles" to ending the war remain.

Why it matters: Foreign Minister Araghchi says Iran's conditions for reopening Hormuz are achievable if Washington shows goodwill, with the strait reopening first. Reported demands include lifting the US naval blockade, releasing frozen assets and allowing oil exports. Qatar and Pakistan are mediating. Iran also says talks with Saudi Arabia continue.

For Europe & Italy: Gas near €93-98/MWh keeps Italian power and industrial costs high.

Market impact: European stocks closed higher on Monday: Paris +0.98%, Frankfurt +0.63%, London +0.29%.

Watch: Any joint announcement on Hormuz, and the Asia-Europe tanker and LNG flows that follow.

Sources: ANSA, Bloomberg, Middle East Monitor

Houthi strikes push the Asian Cup back to 2027

The Asian Football Confederation postponed the Asian Cup in Saudi Arabia until late 2027 after Houthi attacks (Bloomberg). In mid-October, Saudi officials said Houthi attacks on airports in Riyadh and other cities had killed 19 people and wounded almost 400 (Al Jazeera).

Why it matters: The Houthis are the Iran-aligned movement that controls much of Yemen. The attacks undercut Riyadh's push to host global events.

Gaza ceasefire erodes, and Gulf money keeps flowing

Israeli strikes killed eight people in Gaza on 1 November and five on 2 November, according to civil defence officials (Al Arabiya). The October 2025 truce is still formally in place. Israel accuses Hamas of rearming, and Hamas denies it.

Gulf capital keeps moving. Saudi Arabia's wealth fund raised about $3bn in loans guaranteed by Italy's export credit agency Sace (Bloomberg). Abu Dhabi's XRG will buy a Shell Australian gas stake for $1.45bn (FT). Qatar's wealth fund and Brookfield will invest £2.5bn in a Drax data centre (Bloomberg).

Indo-Pacific

Asia is dealing with high energy costs, falling chip stocks and tighter money.

Seoul leads an Asian chip sell-off

South Korea's market fell 3.6%, the worst in Asia on Tuesday, as semiconductor stocks dropped and investors waited for US midterm results. Tokyo was closed for a holiday (ANSA).

Why it matters: Samsung and SK Hynix make up most of the Korean index's value, so chip sentiment drives it.

Market impact: The weakness matches the tech reset seen on Wall Street last week.

Australia's central bank raises rates again

The Reserve Bank of Australia raised its benchmark rate to the highest since the 2008 financial crisis, the fifth increase this year. The vote was split. Governor Michele Bullock signalled a pause, and the Australian dollar fell (FT, Bloomberg).

Watch: Australia's High Court has started hearing a challenge, backed by Reddit and a digital-rights group, to the under-16 social media ban (BBC). Canberra is also preparing the Ocius Bluebottle uncrewed surface vessel for submarine hunting (Defense News).

India: weak monsoon, food prices

Retail food inflation hit 7.74% in September. A weak monsoon threatens winter crops, so prices could stay high (Japan Times).

North Korea denies the Binance hack

Pyongyang denies stealing more than $6.3bn from Binance, a theft the FBI and analysts attribute to it (BBC). The earlier coverage stands, and the denial is the only new element.

BRICS+ & Global South

The Global South is split between energy exporters that gain from high prices and importers that pay for them. Washington is also using trade access as leverage.

US trade pressure on South Africa and Rwanda

Trump is removing Rwanda and South Africa from a US trade arrangement, about a week after the US Treasury sanctioned Rwanda's defence ministry (BBC). South African business leaders and economists say excluding the country from the African Growth and Opportunity Act (AGOA) will have a "minimal" overall impact (Bloomberg). AGOA gives eligible African countries duty-free access to US markets.

Why it matters: South Africa is a BRICS member, and the move shows Washington tying market access to politics.

Brazil's Lula win lifts the left and unsettles investors

Lula's re-election has encouraged left-wing activists in France, Argentina and Spain to copy his digital campaign (FT). Investors reacted differently: the real fell sharply and hedge funds lost money in October (Bloomberg).

Gulf and Argentine capital

Argentina is pitching the EU on food, energy and minerals (FT). Gulf funds are expanding in Europe and Asia (see Middle East).

Africa

Washington's pressure and a UN setback for peacekeeping dominate the day.

UN peacekeeping in Western Sahara ends after 35 years

The BBC reports that a US-Russia impasse at the UN Security Council ended the UN mission in Western Sahara after 35 years, and that Morocco is celebrating (BBC).

Why it matters: The mission, MINURSO, was created in 1991 to organise a referendum on the territory's future. Morocco controls most of the territory and calls it an integral part of the kingdom. The pro-independence Polisario Front disagrees. I could not verify the vote details.

Sanctions on Rwanda and the AGOA exclusion

Rwanda's removal from the US trade arrangement follows Treasury sanctions on its defence ministry. The BBC piece does not give the reason here. Rwanda is accused in the eastern Congo conflict, which is the likely context.

Uganda arrests a former army deputy chief

Uganda arrested Elwelu, a former deputy army chief who had been stripped of his military rank. The military says it recently recovered 15 guns in his possession (BBC).

South Africa, digital identity

Four people were charged with attempted murder after the shooting and torture of farmer Donovan Marx. Right-wing groups cite such attacks to claim a "genocide" of white people, which the BBC calls widely discredited (BBC). Separately, The Economist says criminals are exploiting new national digital-ID databases across Africa (The Economist).

Latin America

Brazil's election result is the region's main story, and it is hitting markets and farmers.

Lula wins a fourth term; markets sell off

Lula won the 25 October runoff with about 51.8% to 48.2%, according to near-complete results reported by outlets citing Brazil's electoral court. The real fell more than 8% on the first session after the vote, and the Ibovespa stock index briefly halted trading (Al Jazeera, MercoPress). Investors had positioned for a right-wing win and fear fiscal slippage. The defeated camp has called for the result to be annulled.

Why it matters: Brazil is the region's largest economy and a BRICS pillar. Hedge funds called October a "nowhere to hide" month, in part because of Brazil's "shock election" (Bloomberg).

Market impact: Brazilian farm loan defaults are at a record, and the Lula win deepens the gloom among growers (Bloomberg).

For Europe & Italy: Argentina is courting Brussels on food, energy and minerals as the EU-Mercosur relationship develops (FT). Greece signed a deal for three Embraer KC-390 transport aircraft, with options for six more, via Portugal (Breaking Defense).

Watch: Lula's first fiscal signals and any court action on the annulment claims.

IV Security, Technology & Space

Defence & Security

Russian bombs kill at least 29 at a Ukrainian aid centre as Abu Dhabi talks are set

Russian forces bombed a school used as an aid distribution point and shelter in Komyshuvakha, in Zaporizhzhia region, on 2 November. Ukrainian officials gave tolls from 24 to 31 as the day went on. The dead include two rescuers and four police officers. President Zelensky said the attack came in two waves, with the second hitting the shelter. Russia had not commented. Overnight, Russia's Defence Ministry said it downed 212 Ukrainian drones, and Ukraine reported strikes in Kharkiv and Odesa.

Why it matters: US envoy Steve Witkoff says Ukrainian and Russian delegations will meet in Abu Dhabi on **10-11 November**. That differs from the 6-10 November window in our previous edition. Putin agreed to the talks after meeting Witkoff on 21 October.

Watch: Whether Moscow attends after the mourning day in Zaporizhzhia on 3 November.

Sources: Al Jazeera, Bloomberg

US approves $2.1bn Patriot missile sale to Ukraine

The State Department cleared 500 PAC-3 interceptors, made by Lockheed Martin. Ukraine will pay through the US JUMPSTART programme, using contributions from Canada, Germany and Norway plus funds from the EU's Ukraine Support Loan. The missiles are not yet built, and delivery is not expected until "a couple of years into the 2030s". Kyiv is pressing the Pentagon to release stock now and replace it later.

For Europe & Italy: European money is paying for US-made interceptors, and the delay shows how tight Western production is.

Sources: Defense News

Drone war: bigger antennas, and a Ukrainian counter

Ukrainian military intelligence says Russia is fitting Shahed-type drones with larger jam-resistant navigation antennas, with 16-element arrays in wide use and 32-element ones found over Kyiv. Kyiv now needs roughly twice as many jammers per drone. Ukraine, in turn, is fielding a receiver that picks up Russian drone video feeds in real time. Japan Times also reports the Black Sea maritime war is widening and testing NATO red lines.

Sources: Defense News, Defense News, Japan Times

Other moves

- Bloomberg reports Washington wants deeper ties with Myanmar's military-backed government to reach its rare earths and counter China.
- Trump is removing Rwanda and South Africa from a US trade deal, a week after Treasury sanctioned Rwanda's defence ministry (BBC).
- Shield AI plans to raise more than $1bn to build its autonomous fighter jet (Bloomberg).

Cyber & Information Warfare

Alert-app hacks: Kyiv admits it hacked back

Late on 1 November, Ukraine's air-raid app sent fake warnings of a nuclear alert and an Oreshnik missile launch. Ukraine's air force said the alerts were in Russian, blamed Russia, and said military systems were unaffected. Hours later, Russia's emergency ministry reported a "massive cyberattack" on its own app, which it said was not a main warning channel. Zelensky told PBS that Ukraine hacked Russia's system in response. This is a new development: attribution was open in our last edition.

Sources: PBS, BBC

Italy's cold chain hit; ACN calls a meeting

Il Sole 24 Ore reports attacks on a Tuscan catering firm and an Emilian frozen-food maker. The Tuscan firm has reported the incident to Italy's cybersecurity agency (ACN), but the Emilian one had not yet. ACN links the cases to attacks on refrigeration and food-distribution firms in Belgium, Luxembourg, Ireland, the Netherlands, Latvia, Finland and Sweden. It urges operators to check at once whether control and remote-assistance systems are exposed to the internet. It is meeting retailers and trade bodies on 3 November. Nobody has been blamed.

Sources: Il Sole 24 Ore

Other items

- The FT reports GCHQ's cyber chief will warn that Chinese and Russian AI-enabled attacks will be routine by 2028.
- North Korea denies stealing $6.3bn from Binance (BBC).
- US industry groups want cyber threat-sharing liability protections extended to 2035 (Defense One).

Fact Check

The claim: "Russia has launched an Oreshnik missile and Ukraine is under nuclear alert"

Where it spread: Push notifications from Ukraine's air-raid app on 1 November, and screenshots shared online.

Verdict: False

What is actually true: Ukraine's air force said the app was hacked and the alerts were sent in Russian. It said military command systems were not affected. The app's channel told users to ignore "suspicious notifications". Russia's emergency ministry reported a similar breach of its own app.

Why it matters: The aim was panic, using nuclear fear. Zelensky says Ukraine hacked back, so each side now has an incentive to blame the other.

Sources: PBS, CBS

The claim: Republicans "have already won in every state" in the 2026 midterms

Where it spread: A Trump post on Truth Social, in late October.

Verdict: False

What is actually true: Maldita.es rated the post false. Voting is happening today, 3 November, so no results existed when it was posted. I could not read the original post, so I rely on Maldita's rating.

Why it matters: Claims of early victory can feed later disputes over results.

Sources: Maldita.es

Technology & AI

Nvidia tells cloud clients to cut China exposure

The FT reports Nvidia has told cloud providers that a majority of their customers must be non-Chinese. The details were not accessible to us. Nvidia's rules for cloud partners now shape where its chips can be used, beyond the formal US export controls (Washington's limits on selling advanced chips to China).

Market impact: Nvidia's China revenue and cloud-provider contracts are exposed. Apple's China sales missed estimates in the September quarter, hitting Asian hardware suppliers (Bloomberg).

Sources: FT, Bloomberg

Anthropic's spending commitments put the AI build-out under scrutiny

The FT says Anthropic disclosed about $900bn of AI spending commitments ahead of its IPO (initial public offering), with infrastructure costs rising faster than revenue. I could not match that figure: other reports on its filing give $517bn to about $800bn, depending on the period and counterparties. Those reports say it filed publicly on 26 October and plans to list on Nasdaq in mid-November. Treat these numbers with caution until the filing is checked.

Why it matters: The deal is a test of whether investors will fund AI at these valuations.

Market impact: Tech has been under pressure. The Nasdaq 100 fell 3.46% on Friday, and hedge funds including Marshall Wace lost money in October's AI rout (FT). Apollo lent a record $114bn in the third quarter, including to Anthropic and Nvidia.

Sources: FT, FT, FT

Data centres and frontier tech

- Brookfield and Qatar's sovereign fund QIA will invest £2.5bn in a data centre with UK power group Drax, powered by its biomass plant. The wider plan is £20bn (Bloomberg, FT).
- Bloomberg's tech event says China's quantum computing is progressing quickly. Chinese firm BrainCo is developing a wearable that it says could suppress appetite, as an alternative to GLP-1 drugs.
- Turkey's wealth fund is buying stakes in EV maker Togg at a $900m valuation (Bloomberg).
- War on the Rocks warns that frontier AI is testing human oversight in defence.

Sources: Bloomberg, Bloomberg, War on the Rocks

Space

Cygnus cargo ship due for the ISS in November

NASA opened media accreditation for Northrop Grumman's CRS-25 mission. A Cygnus XL cargo craft will launch on a SpaceX Falcon 9 to the International Space Station. Launch calendars say November but give no firm date, so none is confirmed. The mission shows how US cargo flights depend on SpaceX rockets.

Sources: NASA

EQT buys Speedcast's ground-station unit for $300m

The Swedish investor says it has bought the unit to widen its satellite-infrastructure holdings. Ground stations link satellites to networks on Earth, and demand is rising as governments and firms build space communications.

Market impact: Private capital keeps flowing into space infrastructure, despite wider pressure on tech valuations.

Sources: Bloomberg

Launch capacity still short

SpaceNews says satellite operators still lack enough rides to orbit, even after record launch numbers last year. The FT notes that AI build-out forecasts increasingly rely on Elon Musk's claims about SpaceX.

Sources: SpaceNews, FT

V Economy, Markets & Energy

Global Economy & Central Banks

The central-bank agenda is hawkish and crowded. The ECB is arguing about how much more to tighten, and the race to succeed Lagarde is now on a clock. The US Treasury and the Bank of England both report this week.

Eurozone governments get until Friday to name ECB president candidates

The Eurogroup, which brings together the euro-area finance ministers, has asked governments to submit nominees to succeed Christine Lagarde by **Friday 6 November**. Lagarde is due to leave on 7 February 2027, as reported earlier. Names most often cited in the press are Pablo Hernández de Cos, Klaas Knot and Joachim Nagel. None is confirmed as a candidate.

Why it matters: The pick needs both Berlin and Paris to back it, and it comes as the ECB debates more hikes after its 2.50% hold on 29 October.

Watch: The list of nominees on Friday. October flash inflation is due Wednesday, after September's 3.8%.

Sources: FT, Bloomberg

Bloomberg Economics: ECB talk implies inflation well below 2% by end-2027

Bloomberg Economics reads ECB officials' remarks as assuming euro-area inflation will fall "materially below" 2% in a year's time. That fits a view that the energy shock fades, and it is an analyst's reading, not an ECB forecast. It sits awkwardly with the hawkish tone from some governors.

Source: Bloomberg

China leans against a strong yuan

The People's Bank of China (PBoC) asked banks to hold more foreign currency in reserve. The onshore yuan then ended its longest winning streak in three decades, Bloomberg reports. The aim is to slow the currency's rise, which hurts exporters. EUR/CNY is about 7.43.

Sources: Bloomberg, Bloomberg newsletter

Other data points and decisions this week

- **Bank of England (Thursday 5 November):** Bank Rate was held at 3.75% in September, in a 6–3 vote with three members voting for a hike. Goldman Sachs and JPMorgan forecast a hike, while Oxford Economics and Pantheon Macro expect a hold.
- **Australia's central bank (RBA):** Its decision is due today. I could not verify the outcome.
- **US Treasury:** The quarterly refunding, which sets bond auction sizes, is due Wednesday. JPMorgan's Bob Michele urged scrapping the 20-year bond.
- **India:** Food inflation reached 7.74% in September, and a weak monsoon threatens winter crops.
- **Russia:** Utility bills are up more than 13% this year and more than 50% since 2022.

Sources: Japan Times (India), Japan Times (Russia), Bloomberg

Markets & Finance

Facts: European stocks opened lower on US midterm-election day. London was -0.5%, Paris -0.6% and Frankfurt -0.9% in early trade. Milan fell 1.18% at the open, with oil stocks and banks down. Latest quotes show the FTSE MIB at 49,616 (-0.66%). On Monday, Europe closed higher: Paris +0.98%, Frankfurt +0.63%, London +0.29%.

Oil and the Iran headline drive the day

Brent fell 7.56% on Monday to $104.85 on signs that Washington and Tehran would negotiate. It is back above $106 today after Reuters reported major obstacles to a deal. S&P 500 futures are down 0.2%.

Bonds and spreads

The BTP-Bund spread (Italy's extra yield over Germany) closed Monday at 113 basis points, with the BTP at 4.42%. This morning it is 115.5, with the BTP at 4.47% and the Bund at 3.31%. The US 10-year yield is 4.89%.

Tech, Asia and hedge funds

- The Nasdaq 100 is down 4.38% on the week and the VIX volatility index is near 21.7.
- Korea's KOSPI and Taiwan's Taiex each fell 3.59%. I could not verify the trigger.
- Bloomberg says many big hedge funds lost money in October, hit by a tech sell-off, a government-bond rout and Brazil's election. The Bovespa is down about 18% on the week.
- Gold fell 1.32% to $3,917, silver fell 3.29% and copper fell 2.61%.

Company news

- Ferrari's third-quarter revenue rose 7% and net profit 13%, beating expectations.
- Schaeffler will cut 3,500 jobs and close four German sites.
- Alstom fell 26% on Monday after cutting its profit forecast.
- Intesa Sanpaolo reports results.

Expectations, not facts: Investors are watching the US midterms, and Treasury supply.

Sources: ANSA, ANSA, Bloomberg, Bloomberg, Ferrari via ANSA, FT

Trade, Tariffs & Sanctions

Trump to pull Rwanda and South Africa from a US trade arrangement

BBC reports that Trump will remove Rwanda and South Africa from a US trade deal. It comes about a week after the US Treasury sanctioned Rwanda's defence ministry. The feed summary does not say which programme is involved, and I could not verify the details.

Why it matters: South Africa is Africa's most industrialised economy and a key exporter of cars and farm goods to the US. Washington is again mixing sanctions, security and trade. A BRICS member and an aid-dependent state are hit at once.

Watch: The formal legal notice and any retaliation.

Source: BBC

EU prepares single-market changes to cut dependence on China

Bloomberg, citing people familiar with the plan, says Brussels is preparing targeted changes to its €18 trillion single market. The aim is to help firms diversify supply chains away from China and other countries. Details are not public.

For Europe & Italy: Italy's manufacturers depend on Chinese inputs. The effect will depend on whether the changes bring new rules or only support for firms.

Source: Bloomberg

US courts Myanmar for rare earths

Washington plans closer engagement with Myanmar's military-backed government to counter China and gain access to its rare-earth deposits (Bloomberg). Critics will focus on engaging a military-backed government.

Source: Bloomberg

Ukraine reconstruction talks in Brussels

The EU will host talks with the US, UK, France, Germany, NATO and the World Bank on Ukraine's reconstruction, with Kyiv taking part (Politico). Zelensky is also meeting Chancellor Merz in Berlin. US-Russia-Ukraine talks are expected in Abu Dhabi on 6-10 November, as reported earlier.

Sources: Politico Europe, Handelsblatt

Energy & Critical Minerals

Oil and gas swing on Iran talk

Monday was a sharp drop. Brent closed down 7.56% at $104.85 and WTI near $96.36. Dutch TTF gas futures fell as much as 10%, to €93.3/MWh. ANSA linked the fall to US-Iran negotiations and a report that Supreme Leader Khamenei agreed to talk. On Tuesday Brent is back above $106 after Bloomberg, citing Reuters, said large obstacles to ending the war remain. TTF is near €96.5.

Why it matters: The market is pricing diplomacy, not a reopening. As noted in earlier editions, the Strait of Hormuz remains closed and the war is in its ninth month.

For Europe & Italy: Gas near €95 feeds directly into power bills and the ECB's inflation debate.

Market impact: Falls hit oil and gas producers and shipping stocks. Saudi Aramco's profit rose "significantly" on higher oil prices (Handelsblatt).

Watch: Any confirmed US-Iran meeting, and ship movements through Hormuz.

Sources: ANSA, ANSA, Bloomberg, Handelsblatt

Deals and infrastructure

- Shell will sell an Australian gas stake to Abu Dhabi's XRG for $1.45bn, part of its plan to shed mature assets.
- Brookfield and the Qatar Investment Authority will invest £2.5bn in a data-centre project with UK generator Drax. It shows how AI is turning into a power-demand story.
- Italian utilities invested €9.9bn in 2025, up 16.5%.

Minerals

Copper fell 2.61% to $6.37/lb. Washington's Myanmar push shows the race for rare earths outside China.

Sources: FT, Bloomberg, Il Sole 24 Ore

VI Outlook

Market Implications

Asset or sector	Likely pressure	Driver	Already priced in?
Italian banks	Up	Intesa results, 95% payout, higher yields	Partly
Defence	Up	Patriot sale, Ukraine escalation, Abu Dhabi talks	Partly
Energy (oil, gas majors)	Mixed	Iran talks headlines	No, headline-driven
Autos	Down	Schaeffler cuts, China decoupling	Partly
Luxury	Mixed	Ferrari beat, China/yuan, weaker demand	Partly
Utilities	Mixed	Gas near €97, rate risk	Partly
BTP-Bund spread	Up (wider)	115.5 bp, budget and ECB succession	Partly
Rates / yields	Up	ECB hawkish tilt, US 10-year at 4.89%, Treasury supply	Largely
EUR/USD	Mixed	Midterms, rate gap; about 1.12	Unclear
Oil	Mixed	Brent $104-106, Hormuz	No
Gold	Down	Fell 1.32% to $3,917	Partly
Tech/AI	Down	Nasdaq 100 -4.4% on the week, financing worries	Partly
Emerging markets	Down	Brazil sell-off, strong dollar	Partly

Markets have mostly reacted to energy and tech. Oil and gas dropped sharply on Monday and partly rebounded today, which shows traders are pricing talks, not a reopening of Hormuz. Tech and Korean chip stocks have already taken a hit. Italian bank earnings are strong, but the spread is widening slightly.

What could change the picture next: a joint US-Iran announcement on Hormuz would push oil and gas lower and ease the ECB's dilemma. A collapse of talks would do the opposite. Midterm results could shift US rates, the dollar and tariff expectations, and Wednesday's Treasury refunding could move yields. Higher October inflation would strengthen the ECB hike case. None of this is advice.

Market Opportunities & Risks

Educational only. This is not advice to buy or sell.

Bonds and BTPs in a hiking cycle

Driver: The ECB leans towards more hikes. The BTP yields 4.47% and the spread is about 115 points. **Exposed:** Government bonds, bond ETFs, banks. **Risks:** Rising yields cut bond prices, and Italy's budget faces a fight with Brussels. **Horizon:** Medium term. **Priced in?** Partly.

Energy and the Iran headline

Driver: Brent fell 7.5% on Monday, then rebounded. **Exposed:** Oil majors, utilities, airlines, energy ETFs. **Risks:** A deal sends prices down, and a collapse sends them up, so moves are sharp both ways. **Horizon:** Short term. **Priced in?** Not settled.

AI infrastructure after the shake-out

Driver: Heavy financing needs. Alphabet and Oracle are selling bonds, and the Nasdaq 100 is down 4.4% on the week. **Exposed:** Chips, optics, data-centre and power firms, such as Drax. **Risks:** Debt-funded spending and valuations. **Horizon:** Long term, with high volatility. **Crowded?** Partly, though prices have already fallen.

Emerging markets and Brazil

Driver: The Bovespa fell about 18% on the week after Brazil's election, and the real is weaker at 5.47 per dollar. **Risks:** Fiscal worries, currency swings and oil moves. **Horizon:** Speculative.

Investing basics: currency risk

If you buy assets in another currency, your return depends on both the asset and the exchange rate. A euro investor in a US stock loses part of any gain if the dollar falls against the euro. The EUR/USD rate is about 1.12. Hedged funds reduce this risk, but at a cost. Diversifying across currencies can also help.

Scenarios

US-Iran talks and Hormuz

- **Base case:** Mediated talks continue without a deal, and oil stays in a $100-110 band with sharp daily swings. Likely.
- **Upside:** A framework deal reopens Hormuz first, and oil and gas fall sharply. Possible, but Reuters reports "significant obstacles".
- **Downside:** Talks collapse, and the naval blockade and strikes escalate. Unlikely but severe.
- **Signposts:** A confirmed meeting, Hormuz shipping data, sanctions or frozen-asset relief, and Qatari and Pakistani statements.

Ukraine talks in Abu Dhabi

- **Base case:** Delegations meet on 10-11 November and make limited progress, while Russia keeps up heavy strikes. Likely.
- **Upside:** Moscow agrees to concrete steps such as an air-strike limit or prisoner exchanges. Unlikely.
- **Downside:** The talks slip or collapse after atrocities like Komyshuvakha, or Moscow stalls, expecting a weakened Trump after the midterms. Possible.
- **Signposts:** Kremlin confirmation of its delegation, the midterm result, and Zelensky's Berlin outcomes on air defence.

Ex Ilva sale

- **Base case:** Federacciai pulls out or narrows its bid, and Jindal's offer becomes the front-runner. Likely.
- **Upside:** Federacciai submits a credible bid, creating competition and an Italian solution. Possible.
- **Downside:** No viable bid arrives by 8 November, so the sale stalls and the state faces more costs. Possible.

- **Signposts:** Gozzi's announcement, any government statement after the 2 November Palazzo Chigi meeting, and union reactions.

What to Watch

Date	Event	Why it matters
Tue 3 – Wed 4 Nov	US midterm results	Decides Congress control. Affects tariffs, spending, Ukraine and NATO policy.
Wed 4 Nov	Eurozone October flash inflation	Follows September's 3.8%. Shapes ECB hike expectations.
Wed 4 Nov	US Treasury quarterly refunding	Sets bond auction sizes. Could move yields.
Thu 5 Nov	Bank of England decision	Bank Rate is 3.75%. The September vote was 6-3, with three members voting for a hike.
Fri 6 Nov	Deadline for ECB president nominations	The first list of candidates to replace Lagarde.
Fri 6 Nov	US jobs report (usual first-Friday date)	Fed and dollar signal. I did not verify the date.
Sun 8 Nov	Binding offers for ex Ilva	Decides whether Italian steelmakers or Jindal lead the sale.
Mon 9 Nov	Eurogroup meeting	Finance ministers discuss ECB candidates.
Tue 10 – Wed 11 Nov	US-Russia-Ukraine talks, Abu Dhabi (reported)	The first such round since February. Earlier reports gave different dates.

Explained

BTP-Bund spread

It is the gap between the yield on Italy's 10-year bond (BTP) and Germany's (Bund). Investors treat Germany as the safe benchmark, so the spread measures the extra return they demand to hold Italian debt. Think of it as the premium on insurance: a riskier borrower pays more. Today the BTP yields 4.47% and the Bund 3.31%, a gap of 115.5 basis points (one basis point is 0.01 percentage points). It was about 113 on Monday. It matters because it drives Italy's borrowing costs and reflects worries about the budget and the ECB's direction. Key number: 115.5.

ECB presidency and the nomination process

The ECB president chairs the Governing Council, which sets euro-area interest rates. Eurozone governments nominate candidates, finance ministers in the Eurogroup discuss them, and leaders and the European Parliament follow. In practice, Berlin and Paris must both agree. It is like choosing a referee who both big teams accept. The pick matters now because inflation is above target and the Council is split on hikes. Key date: 6 November.

Strait of Hormuz and the oil and gas price

Hormuz is the narrow sea passage between Iran and Oman through which a large share of the world's oil and liquefied natural gas (LNG) moves. If it is closed, supply shrinks, and prices rise. Think of a motorway bottleneck. Markets then trade on every headline about talks, which explains Monday's 7.56% fall and today's rebound. Higher gas prices reach Italian power bills. Key number: Brent around $104-106.

Reserve requirements and currency control

A central bank can ask banks to hold more of a currency in reserve. That takes some of it out of circulation and raises its price. China's PBOC asked banks to hold more foreign currency, which makes it costlier for banks to supply dollars and so slows the yuan's rise, because a strong yuan hurts exporters. It works like a thermostat on the exchange rate. Key fact: the yuan's winning streak was its longest in three decades.

Glossary

- **Basis point:** one hundredth of a percentage point; 100 basis points equal 1%.
- **Brent / WTI:** the main European and US oil price benchmarks.
- **TTF:** the Dutch gas futures contract that is Europe's benchmark gas price.
- **Eurogroup:** the monthly meeting of eurozone finance ministers.
- **ECB:** the European Central Bank, which sets eurozone interest rates.
- **Federacciai:** the Italian steel industry federation, led by Antonio Gozzi.
- **Acciaierie d'Italia (ex Ilva):** Italy's largest steel complex, in Taranto, under extraordinary administration.
- **PAC-3:** Lockheed Martin's Patriot missile interceptor.
- **PBOC:** China's central bank.
- **AGOA:** the US law that gives eligible African countries duty-free access to US markets.
- **ACN:** Italy's national cybersecurity agency.
- **Midterms:** US elections held midway through a presidential term.

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